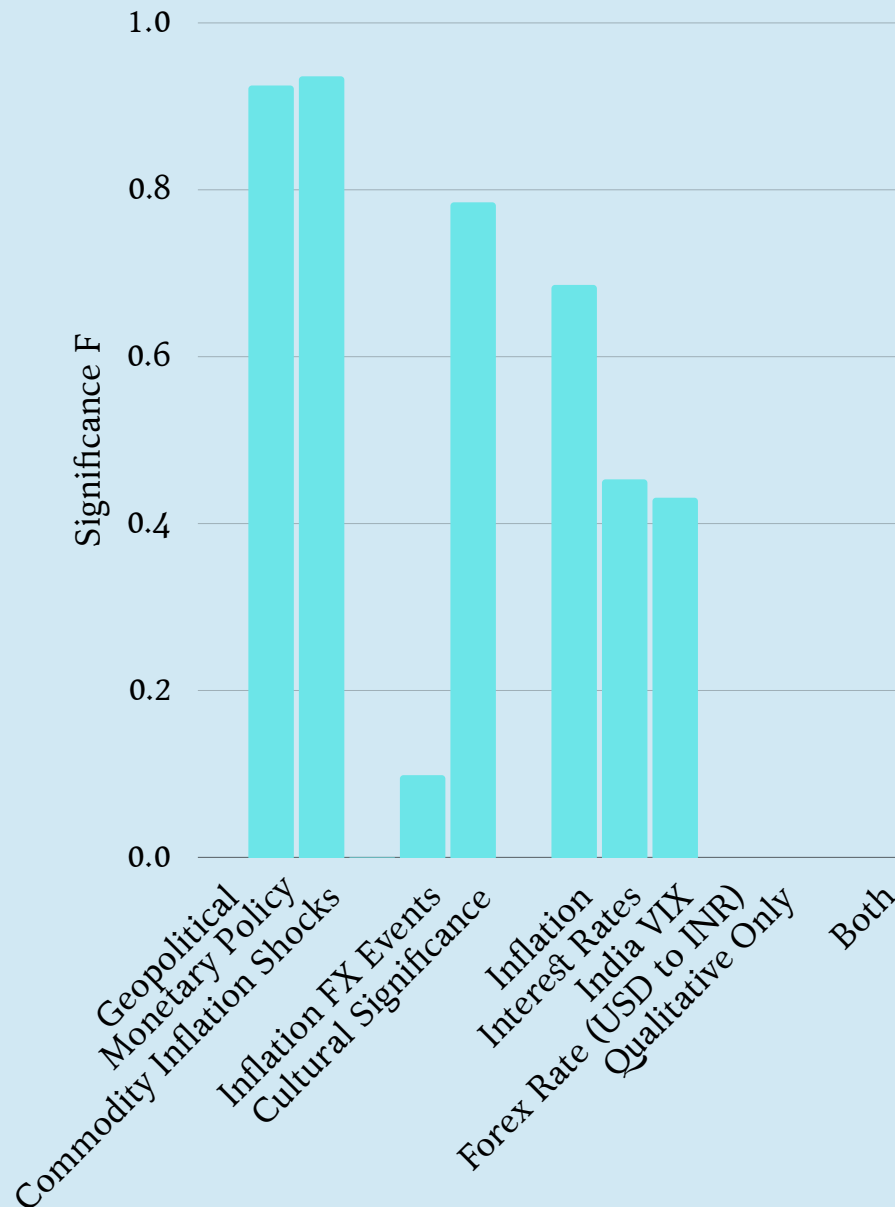
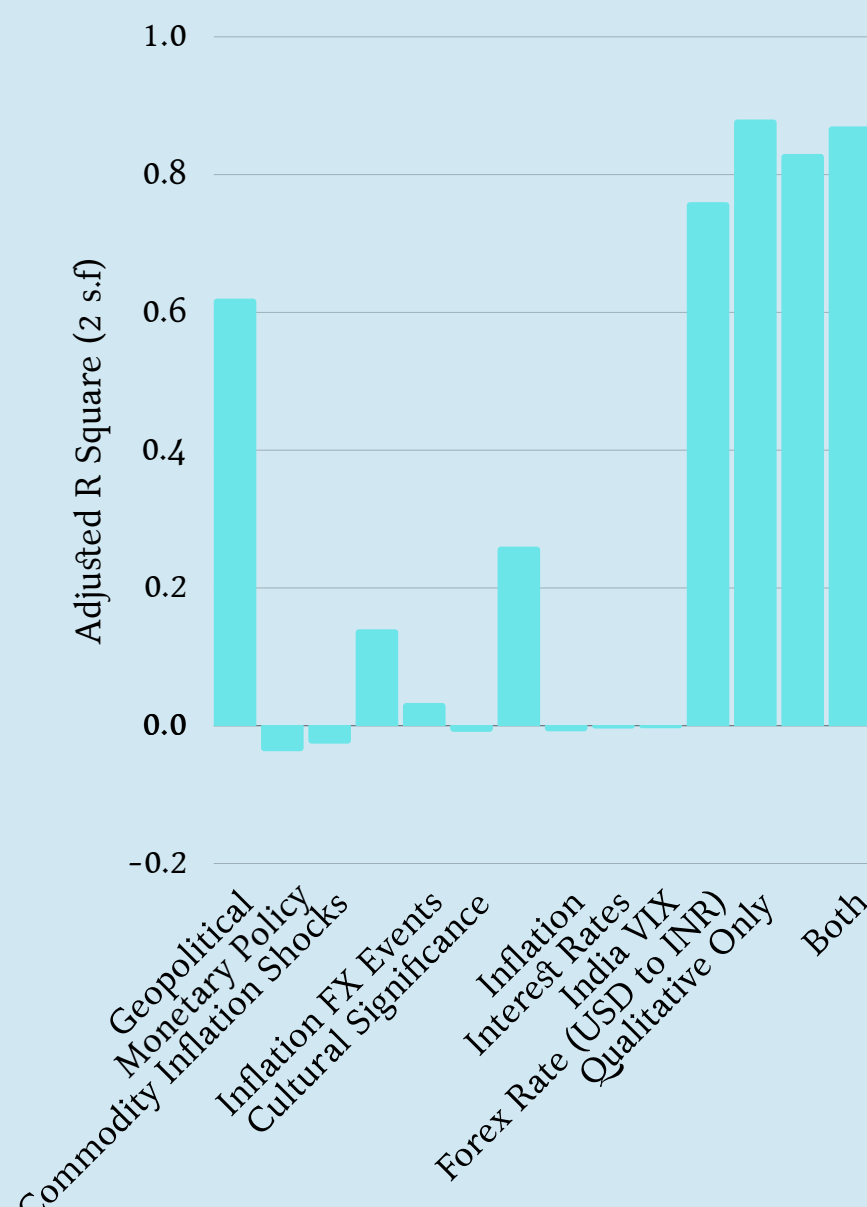


AUTHORS Bharat Anand Daksh Nimbhal		Currencies, Crises and Culture: The Story Behind India’s Gold Price Fluctuations							
01. Introduction Gold holds enduring importance in India’s economy and culture, valued both as a symbol of prosperity and as a dependable investment asset used for wealth preservation. However, its price responds dynamically to shifts in inflation, interest rates, currency exchange rates, crude oil prices, and global uncertainty.		03. Methodology The qualitative variables included cultural significance, domestic events, geopolitical events, external shocks from inflation and monetary policy. Each factor was assigned a dummy variable for each month on a scale of 0-1 based on their significance and impact in the month. Each model for the listed qualitative factors consisted of multiple events that come under those factors, for example, the Covid-19 pandemic came under the geopolitical events factor. A model including all the qualitative factors was also run. One final model, including all the significant qualitative factors and quantitative factors was run. Applying linear regression, we got the value of the adjusted R Square and significance F which show how well the factor/s explain the variation in gold prices and the probability of the the relationship being a coincidence respectively. 		Significance F  Adjusted R Square (2 s.f) 					
02. Objective To identify the most influential factors affecting gold prices in India and evaluate how their combined impact contributes to price fluctuations and market trends.		04. Results/Findings Out of all the individual models run, the most influential were the Forex, Crude oil prices, Geopolitical and Domestic Events. The Forex model best explained the trend in gold prices, followed by geopolitical events. Under geopolitical events, the most influential was the Russia Ukraine war (~85% standardized contribution to variation and positive relation), the Afghanistan withdrawal (~50% and positive relation), and the Covid-19 pandemic (~44% and positive relation). The Israel Hamas conflict had a negative correlation of approximately 22%. The combined model of all the quantitative variables resulted in an adjusted R Square value of approximately 82.1% being the 3rd highest value. The combined model including all the qualitative factors had an adjusted R Square value of approximately 88.3% being the highest out of all the models. Finally, the model including all the significant qualitative and quantitative factors, resulted in a value of approximately 86.6%.		05. Analysis The study finds that forex rates and geopolitical factors are the most significant drivers of gold prices in India. The combined model explains about 87% of the variation in gold prices. In contrast, inflation, interest rates, and cultural factors have minimal individual impact. Overall, international economic and political conditions influence gold prices far more than domestic variables. The hypothesis was only partially supported. While it was expected that cultural significance, COVID-19, and forex rates would strongly affect gold prices, the results showed that forex rates had the greatest impact, followed by a moderate effect from COVID-19. Cultural significance had minimal influence.		06. Conclusion To conclude, quantitative factors are most consistent but generally have a lower impact on the price of gold as compared to quantitative factors which are unpredictable and have a much larger impact on the price of gold, producing greater spikes and dips.		Citations “Gold Prices in India.” <i>Exchange-Rates.org</i>. 2020, https://www.exchange-rates.org “India VIX Historical Data.” <i>Investing.com</i>, https://www.investing.com/ “India Interest Rate.” <i>Trading Economics</i>, https://tradingeconomics.com “Consumer Price Index and Inflation Rate (All India).” <i>Ministry of Statistics and Programme Implementation, Government of India</i>, https://www.mospi.gov.in “Crude Oil Prices (INR per Barrel).” <i>Index Mundi</i>, https://www.indexmundi.com “Indian Rupee to U.S. Dollar Exchange Rate (EXINUS).” <i>Federal Reserve Bank of St. Louis, FRED Economic Data</i>, https://fred.stlouisfed.org	

